



Higher  
Coursework  
Assessment Task



# 2019 Accounting Assignment

## Higher

### Finalised Marking Instructions

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## Marking instructions

In line with SQA's normal practice, the following marking instructions for the Higher Accounting assignment are addressed to the marker. They will also be helpful if you are preparing candidates for course assessment.

Candidates' evidence is submitted to SQA for external marking.

## General marking principles

Always apply these general principles. Use them in conjunction with the detailed/specific marking instructions, which identify the key features required in candidates' responses.

- a Always use positive marking. This means candidates accumulate marks for the demonstration of relevant skills, knowledge and understanding; marks are not deducted for errors or omissions.
- b If a candidate response does not seem to be covered by either the principles or detailed marking instructions, and you are uncertain how to assess it, you must seek guidance from your team leader.
- c Candidates gain marks for showing workings and demonstrating that they have followed accounting processes, even when they present incorrect figures.
- d **Treatment of errors**  
The specific marking instructions provide guidance on the treatment of errors such as extraneous items, arithmetical errors and consequential errors.
- e **Layouts**  
The specific marking instructions provide layouts for illustrative purposes only. Do not penalise candidates for using appropriate alternative layouts.
- f **Consequential errors**  
You must take into account consequential errors. Candidates must receive marks for following the correct accounting processes and using the correct spreadsheet formulae.
- g **+/- rule**  
You should check both statements before awarding marks for correct entry of Trial Balance items, as they can only appear once.
- h **Formulae**  
Candidates may use a variety of different formulae to solve problems and provide the information needed in the spreadsheet. Award marks where a formula provides the correct answer. The formula in the specific marking instructions is not the only way to achieve the correct answer.
- i **Printouts**  
Each task clearly provides printing requirements. Where a printout for a task is missing, award marks for the correct information on any available alternative printout.

**Marking instructions for each task.**

| Task 1 (a) - solution                               |      |      |      |       | Max mark | Additional guidance                                                                                               |
|-----------------------------------------------------|------|------|------|-------|----------|-------------------------------------------------------------------------------------------------------------------|
| Task 1 - Italian Cuisine                            |      |      | CODE | MARKS | 25       | Business name not essential, but if shown must be 'Italian Cuisine' not 'Accurate Accounts' to gain heading award |
| Income Statement for year ended 31 December Year 3✓ |      |      |      |       |          |                                                                                                                   |
|                                                     | £000 | £000 | £000 |       |          |                                                                                                                   |
| Sales Revenue                                       |      |      | 620  | A     |          |                                                                                                                   |
| Less Sales Returns                                  |      |      | 80   | A     | 1        |                                                                                                                   |
| Net Sales                                           |      |      | 540  |       |          |                                                                                                                   |
| <b>Less Cost of Sales</b>                           |      |      |      |       |          |                                                                                                                   |
| Opening Inventory                                   |      | 40   |      | B     |          |                                                                                                                   |
| Add Purchases                                       | 250  |      |      | C     |          |                                                                                                                   |
| Less Purchases Returns                              | 14   | 236  |      | C     | 1        |                                                                                                                   |
|                                                     |      | 276  |      |       |          |                                                                                                                   |
| Less Closing Inventory                              |      | 20   |      | B     | 1        |                                                                                                                   |
|                                                     |      | 256  |      |       |          |                                                                                                                   |
| Add Warehouse Expenses                              |      | 4    |      |       | 1        |                                                                                                                   |
| <b>Cost of Sales</b>                                |      |      | 260  |       |          |                                                                                                                   |
| <b>Gross Profit ✓</b>                               |      |      | 280  |       |          |                                                                                                                   |
| <b>Less Expenses</b>                                |      |      |      |       |          |                                                                                                                   |
| General Expenses                                    |      | 5    |      | D     |          |                                                                                                                   |
| Staff Salaries                                      |      | 80   |      | D     |          |                                                                                                                   |
| Discount Allowed                                    |      | 2 *  |      | D     | 1        |                                                                                                                   |
| Rates (3 + 1)                                       |      | 4    |      |       | 1        |                                                                                                                   |
| Selling Expenses (12 – 2)                           |      | 10   |      |       | 1        |                                                                                                                   |
| Depreciation of Motor Vehicles (50 x 10%)           |      | 5    |      |       | 1        |                                                                                                                   |
| Depreciation of Equipment (60 – 15) x 20%           |      | 9    |      |       | 1        |                                                                                                                   |
| Advertising (10 + 10)                               |      | 20   |      |       | 1        |                                                                                                                   |
| Loan Finance Charges (120 x 5%)/2                   |      | 3    | 138  |       | 1        |                                                                                                                   |
|                                                     |      |      | 142  |       |          |                                                                                                                   |

Accept Warehouse Expenses anywhere in Cost of Sales section if correct effect

If expenses shown as add and added, award marks gained and divide by 2 (max 4)

\*If shown as Discount (Net) of 1 in Income award marks for D & E if appropriate

| Task 1 (a) - solution                                      |     |     |   | Max mark | Additional guidance                                                                                                     |
|------------------------------------------------------------|-----|-----|---|----------|-------------------------------------------------------------------------------------------------------------------------|
| <b>Add Other Income</b>                                    |     |     |   |          | If income shown as less and deducted award marks gained and divide by 2 (max 1 - unless discounts net shown then max 2) |
| Reduction in Provision for Doubtful Debts 4 - (20 x 5%)    | 3   |     |   | 1        |                                                                                                                         |
| Discount Received                                          | 3 * |     | E |          |                                                                                                                         |
| Rent Received                                              | 6   | 12  | E | 1        |                                                                                                                         |
| <b>Profit for the Year ✓</b>                               |     | 154 |   |          |                                                                                                                         |
| <b>Add Interest on Drawings</b>                            |     |     |   |          |                                                                                                                         |
| Zecchino (20 x 10%)                                        | 2   |     | F |          |                                                                                                                         |
| Martone (30 x 10%)                                         | 3   | 5   | F | 1*       |                                                                                                                         |
|                                                            |     | 159 |   |          |                                                                                                                         |
| Less Salary (Martone)                                      |     | 15  |   | 1*       |                                                                                                                         |
|                                                            |     | 144 |   |          | *If wrong effect do not award mark                                                                                      |
| <b>Less Interest on Equity</b>                             |     |     |   |          |                                                                                                                         |
| Zecchino (200 x 8%)                                        | 16  |     | G |          |                                                                                                                         |
| Martone (100 x 8%)                                         | 8   | 24  | G | 1*       |                                                                                                                         |
|                                                            |     | 120 |   |          |                                                                                                                         |
| <b>Profit Share</b>                                        |     |     |   |          |                                                                                                                         |
| Zecchino (120 x 2/3)                                       | 80  |     | H |          |                                                                                                                         |
| Martone (120 x 1/3)                                        | 40  | 120 | H | 1        |                                                                                                                         |
| <b>Heading, labels, arithmetic and no extraneous items</b> |     |     |   | 1        |                                                                                                                         |
|                                                            |     |     |   | 18 marks |                                                                                                                         |

| Task 1 (b) - solution                                                                                                                                  |                      |      |      |         |      | Max mark | Additional guidance                                                                                                                             |       |                                                                                          |
|--------------------------------------------------------------------------------------------------------------------------------------------------------|----------------------|------|------|---------|------|----------|-------------------------------------------------------------------------------------------------------------------------------------------------|-------|------------------------------------------------------------------------------------------|
| Current Account - Zecchino ✓                                                                                                                           |                      |      |      |         |      |          | If Current Account shown as complete reversal, or not shown as a Current Account, award marks gained and divide by 2 (max 3 if figures correct) |       |                                                                                          |
|                                                                                                                                                        |                      | £000 | £000 | £000    | CODE |          |                                                                                                                                                 | MARKS |                                                                                          |
| Date                                                                                                                                                   | Details              | Dr   | Cr   | Balance |      |          |                                                                                                                                                 |       |                                                                                          |
| 31 Dec                                                                                                                                                 | Balance              | 50   |      | -50     | J    |          |                                                                                                                                                 |       |                                                                                          |
| 31 Dec                                                                                                                                                 | Interest on Equity   |      | 16   | -34     | K    |          |                                                                                                                                                 |       |                                                                                          |
| 31 Dec                                                                                                                                                 | Share of Profit      |      | 80   | 46      | L    |          |                                                                                                                                                 |       |                                                                                          |
| 31 Dec                                                                                                                                                 | Interest on Loan     |      | 3    | 49      | M    |          |                                                                                                                                                 |       |                                                                                          |
| 31 Dec                                                                                                                                                 | Interest on Drawings | 2    |      | 47      | N    |          |                                                                                                                                                 |       |                                                                                          |
| 31 Dec                                                                                                                                                 | Drawings             | 20   |      | 27      | P    |          |                                                                                                                                                 |       |                                                                                          |
| Current Account - Martone ✓                                                                                                                            |                      |      |      |         |      |          |                                                                                                                                                 |       | If opening balance correct and all other items reversed only award opening balances mark |
|                                                                                                                                                        |                      | £000 | £000 | £000    |      |          |                                                                                                                                                 |       |                                                                                          |
| Date                                                                                                                                                   | Details              | Dr   | Cr   | Balance |      |          |                                                                                                                                                 |       |                                                                                          |
| 31 Dec                                                                                                                                                 | Balance              |      | 30   | 30      | J    |          |                                                                                                                                                 | 1     |                                                                                          |
| 31 Dec                                                                                                                                                 | Interest on Equity   |      | 8    | 38      | K    | 1        |                                                                                                                                                 |       |                                                                                          |
| 31 Dec                                                                                                                                                 | Share of Profit      |      | 40   | 78      | L    | 1        |                                                                                                                                                 |       |                                                                                          |
| 31 Dec                                                                                                                                                 | Salary               |      | 15   | 93      | M    | 1        |                                                                                                                                                 |       |                                                                                          |
| 31 Dec                                                                                                                                                 | Interest on Drawings | 3    |      | 90      | N    | 1        |                                                                                                                                                 |       |                                                                                          |
| 31 Dec                                                                                                                                                 | Drawings             | 30   |      | 60      | P    | 1        |                                                                                                                                                 |       |                                                                                          |
| Headings (Current Account with name, DR/CR shown on at least one account in correct order), layout, arithmetic and no extraneous items (both accounts) |                      |      |      |         |      | 1        |                                                                                                                                                 |       |                                                                                          |
|                                                                                                                                                        |                      |      |      |         |      | 7 Marks  |                                                                                                                                                 |       |                                                                                          |

| Task 2 (a) & (b) - solution - value view |                                         |         |          |         |       |       |       | Max mark | Additional guidance                                                                                |
|------------------------------------------|-----------------------------------------|---------|----------|---------|-------|-------|-------|----------|----------------------------------------------------------------------------------------------------|
|                                          | A                                       | B       | C        | D       | E     | F     | G     |          |                                                                                                    |
| 1                                        | Italian Cuisine                         |         |          |         |       |       |       | MARKS    |                                                                                                    |
| 2                                        | Sales Budget for January to June Year 4 |         |          |         |       |       |       |          |                                                                                                    |
| 3                                        |                                         | Jan     | Feb      | Mar     | Apr   | May   | June  |          |                                                                                                    |
| 4                                        | Opening Inventory                       | 560*    | 880      | 1200    | 1000  | 900   | 900   | * 1      | *Award 1 mark to Jan figure only                                                                   |
| 5                                        | Purchases                               | 2,800   | 4,400    | 6,000   | 5,000 | 4,500 | 4,500 |          |                                                                                                    |
| 6                                        |                                         | 3,360   | 5,280    | 7,200   | 6,000 | 5,400 | 5,400 |          |                                                                                                    |
| 7                                        | Closing Inventory                       | 880     | 1200     | 1000    | 900   | 900   | 800   | 1        | Award 1 mark for remaining opening and all closing inventories                                     |
| 8                                        | Sales                                   | 2,480   | 4,080    | 6,200   | 5,100 | 4,500 | 4,600 | 1        |                                                                                                    |
| 9                                        |                                         |         |          |         |       |       |       |          |                                                                                                    |
| 10                                       |                                         |         |          |         |       |       |       |          |                                                                                                    |
| 11                                       | Retail (Cash) Selling Price (per unit)  | £10.00  |          |         |       |       |       |          |                                                                                                    |
| 12                                       | Purchase Price (per unit)               | £5.00   |          |         |       |       |       |          |                                                                                                    |
| 13                                       | Selling Expenses                        | £0.50   |          |         |       |       |       |          |                                                                                                    |
| 14                                       | Bonus (per unit)                        | £2.00   |          |         |       |       |       |          |                                                                                                    |
| 15                                       |                                         |         |          |         |       |       |       |          | **Award 1 mark for all 5 data entries shown in bold                                                |
| 16                                       |                                         |         |          |         |       |       |       |          |                                                                                                    |
| 17                                       | Italian Cuisine                         |         |          |         |       |       |       |          |                                                                                                    |
| 18                                       | Cash Budget for January - April Year 4  |         |          |         |       |       |       |          |                                                                                                    |
| 19                                       |                                         | March   | April    | May     |       |       |       |          |                                                                                                    |
| 20                                       | Opening Balance                         | £80,000 | £105,518 | £71,717 |       |       |       | 1        |                                                                                                    |
| 21                                       |                                         |         |          |         |       |       |       |          |                                                                                                    |
| 22                                       | Receipts                                |         |          |         |       |       |       |          |                                                                                                    |
| 23                                       | Retail Cash Sales                       | £24,800 | £20,400  | £18,000 |       |       |       |          |                                                                                                    |
| 24                                       | Credit Sales - 1 month                  | £16,524 | £25,110  | £20,655 |       |       |       |          |                                                                                                    |
| 25                                       | Credit Sales - 2 months                 | £3,534  | £5,814   | £8,835  |       |       |       |          |                                                                                                    |
| 26                                       | Loan - Martone                          | £30,000 |          |         |       |       |       |          |                                                                                                    |
| 27                                       | Total Receipts                          | £74,858 | £51,324  | £47,490 |       |       |       | 4 Marks  | If template has been adjusted, or printing instructions not followed, do not award data entry mark |

| Task 2 (a) & (b) - solution - value view |                            |          |         |         | Max mark | Additional guidance |
|------------------------------------------|----------------------------|----------|---------|---------|----------|---------------------|
|                                          | A                          | B        | C       | D       |          |                     |
| 29                                       | <b>Payments</b>            |          |         |         |          |                     |
| 30                                       | Purchases (Deposit)        | £3,000   | £2,500  | £2,250  |          |                     |
| 31                                       | Purchases (Balance)        | £19,800  | £27,000 | £22,500 |          |                     |
| 32                                       | Fixed Costs                | £500     | £500    | £500    |          |                     |
| 33                                       | New Fittings               | £24,000  | £48,000 | £48,000 |          |                     |
| 34                                       | Selling Expenses           | £2,040   | £3,100  | £2,550  |          |                     |
| 35                                       | Sales Bonus                | £0       | £2,400  | £200    |          |                     |
| 36                                       | Finance Charges - Zecchino |          | £1,500  |         |          |                     |
| 37                                       | Finance Charges - Martone  |          | £125    | £125    |          |                     |
| 38                                       | <b>Total Payments</b>      | £49,340  | £85,125 | £76,125 |          |                     |
| 39                                       |                            |          |         |         |          |                     |
| 40                                       | Closing Balance            | £105,518 | £71,717 | £43,082 |          |                     |

| Task 2 (a) & (b) - solution - formula view         |                                  |                                  |                                  | Max mark | Additional guidance                                                                                   |
|----------------------------------------------------|----------------------------------|----------------------------------|----------------------------------|----------|-------------------------------------------------------------------------------------------------------|
| Italian Cuisine Cash Budget for March - May Year 4 |                                  |                                  |                                  |          | Absolute cell references must be used where applicable, and replication must be evident to gain marks |
| Opening Balance                                    | Mar<br>80000                     | Apr<br>=B40 ✓                    | May<br>=C40 ✓                    |          |                                                                                                       |
| Receipts                                           |                                  |                                  |                                  |          |                                                                                                       |
| Retail Cash Sales                                  | =D8*40%*\$B\$11                  | =E8*40%*\$B\$11                  | =F8*40%*\$B\$11                  | 1        |                                                                                                       |
| Credit Sales — 1 month                             | =C8*60%*75%*\$B\$11*90%          | =D8*60%*75%*\$B\$11*90%          | =E8*60%*75%*\$B\$11*90%          | 1        |                                                                                                       |
| Credit Sales — 2 months                            | =B8*60%*25%*\$B\$11*95%          | =C8*60%*25%*\$B\$11*95%          | =D8*60%*25%*\$B\$11*95%          | 1        |                                                                                                       |
| Loan - Martone                                     | =120000/4                        |                                  |                                  | 1        |                                                                                                       |
| Total Receipts                                     | =SUM(B23:B26) ✓                  | =SUM(C23:C26) ✓                  | =SUM(D23:D26) ✓                  |          |                                                                                                       |
| Payments                                           |                                  |                                  |                                  |          |                                                                                                       |
| Purchases (Deposit)                                | =D5*10%*\$B\$12                  | =E5*10%*\$B\$12                  | =F5*10%*\$B\$12                  | 1        |                                                                                                       |
| Purchases (Balance)                                | =C5*90%*\$B\$12                  | =D5*90%*\$B\$12                  | =E5*90%*\$B\$12                  | 1        |                                                                                                       |
| Fixed Costs                                        | 500                              | =B\$32 or B32                    | =B\$32 or C32                    | ]        |                                                                                                       |
| New Fittings                                       | =120000/5                        | =120000/5*2 or B33*2             | =120000/5*2 or C33               |          | 1                                                                                                     |
| Selling Expenses                                   | =C8*\$B\$13                      | =D8*\$B\$13                      | =E8*\$B\$13                      |          | 1                                                                                                     |
| Sales Bonus                                        | =IF(C8>5000,(C8-5000)*\$B\$14,0) | =IF(D8>5000,(D8-5000)*\$B\$14,0) | =IF(E8>5000,(E8-5000)*\$B\$14,0) | 1        | Total Receipts and Payments must have autosum formulae to gain ticked items award                     |
| Finance Charges — Zecchino                         |                                  | =120000*5%/4                     |                                  | ]        |                                                                                                       |
| Finance Charges — Martone                          |                                  | =B\$26*5%/12                     | =B\$26*5%/12 or C37              |          |                                                                                                       |
| Total Payments                                     | =SUM(B30:B37) ✓                  | =SUM(C30:C37) ✓                  | =SUM(D30:D37) ✓                  |          |                                                                                                       |
| Closing Balance                                    | =B20+B27-B38 ✓                   | =C20+C27-C38 ✓                   | =D20+D27-D38 ✓                   | 1        |                                                                                                       |
|                                                    |                                  |                                  |                                  | 11 Marks |                                                                                                       |



| Task 3 (a) & (b) - solution                |         |           |         |   |         |           |         |   |   | Max mark | Additional guidance                                                                                         |
|--------------------------------------------|---------|-----------|---------|---|---------|-----------|---------|---|---|----------|-------------------------------------------------------------------------------------------------------------|
| Profits earned from each project           |         |           |         |   |         |           |         |   |   | 20       | If Project B Depreciation is £8,000, do not award either depreciation marks as scrap value has been ignored |
|                                            |         | Project A |         |   |         | Project B |         |   |   |          |                                                                                                             |
| Initial Investment                         |         | £30,000   |         |   |         | £40,000   |         |   |   |          |                                                                                                             |
| Less residual/scrap value                  |         | £6,000    |         |   |         | £8,000    |         |   |   |          |                                                                                                             |
|                                            |         | £24,000   |         |   |         | £32,000   |         |   |   |          |                                                                                                             |
| Lifetime of investment in years            |         | 4         |         |   |         | 5         |         |   |   |          |                                                                                                             |
| Annual Depreciation                        |         | £6,000    |         |   | 2       | £6,400    |         |   | 2 |          |                                                                                                             |
| Profit Earned                              |         |           |         |   |         |           |         |   |   |          |                                                                                                             |
| Year 1                                     | £21,000 | £6,000    | £15,000 | ] | £17,500 | £6,400    | £11,100 | ] |   |          |                                                                                                             |
| Year 2                                     | £17,500 | £6,000    | £11,500 |   | £13,500 | £6,400    | £7,100  |   |   |          |                                                                                                             |
| Year 3                                     | £14,000 | £6,000    | £8,000  |   | £10,500 | £6,400    | £4,100  |   |   |          |                                                                                                             |
| Year 4                                     | £10,000 | £6,000    | £4,000  |   | £9,000  | £6,400    | £2,600  |   |   |          |                                                                                                             |
| Year 5                                     |         |           |         | 1 | £7,000  | £6,400    | £600    | 1 |   |          |                                                                                                             |
| Total Profits                              |         | £38,500   |         |   |         | £25,500   |         |   |   |          |                                                                                                             |
| Average Profits                            |         | £9,625    |         |   | 1       | £5,100    |         |   | 1 |          |                                                                                                             |
| Average Profits / Initial Investment x 100 |         | £9,625    | x 100   |   |         | £5,100    | x 100   |   |   |          |                                                                                                             |
|                                            |         | £30,000   |         |   |         | £40,000   |         |   |   |          |                                                                                                             |
|                                            |         | 32.08%    |         | 1 |         | 12.75%    |         | 1 |   |          |                                                                                                             |
|                                            |         |           |         |   |         |           |         |   |   | 10 Marks | If % missing do not award first mark                                                                        |
|                                            |         |           |         |   |         |           |         |   |   |          |                                                                                                             |

| Task 3 (c) - solution                  |                  |         |                                         |                  |         | Max mark | Additional guidance                                                             |
|----------------------------------------|------------------|---------|-----------------------------------------|------------------|---------|----------|---------------------------------------------------------------------------------|
| <b>Payback</b>                         |                  |         |                                         |                  |         |          |                                                                                 |
|                                        | <b>Project A</b> |         |                                         | <b>Project B</b> |         |          |                                                                                 |
| Year 1                                 | £21,000          | £21,000 | ] 1                                     | £17,500          | £17,500 | ] 1      |                                                                                 |
| Year 2                                 | £17,500          | £38,500 |                                         | £13,500          | £31,000 |          |                                                                                 |
| Year 3                                 | £14,000          |         |                                         | £10,500          | £41,500 |          |                                                                                 |
| Year 4                                 | £10,000          |         |                                         | £9,000           |         |          |                                                                                 |
| Year 5                                 |                  |         |                                         | £7,000           |         |          |                                                                                 |
|                                        |                  |         |                                         |                  |         |          |                                                                                 |
| 1 year = £21,000 - need another £9,000 |                  |         | 2 years = £31,000 - need another £9,000 |                  |         |          |                                                                                 |
| £9,000/£17,500 x 365 days              |                  | 1       | £9,000/£10,500 x 365 days               |                  | 1       |          |                                                                                 |
| 1 year 188 days (or 553 days)          |                  | 1       | 2 years 313 days (or 1,043 days)        |                  | 1       |          |                                                                                 |
|                                        |                  |         |                                         |                  |         | 6 Marks  |                                                                                 |
|                                        |                  |         |                                         |                  |         |          | If decimal shown, no 'days' shown, or days rounded down do not award first mark |

## Task 3d

File Name: T3WP (Solution)

# Report

To: Italian Cuisine  
From: Your Name  
Date: Today's  
Subject: INVESTMENT APPRAISAL

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Italian Cuisine should implement Project A as the Accounting Rate of Return is higher (1) (Project A is 32.08% whereas Project B is 12.75%) /the Payback period is shorter (1) (Project A is 1 year and 188 days whereas Project B is 2 years and 313 days).

**Note:** The recommendation (and reason) will be consequential on calculations carried out in Task 3.

**Maximum 1 Mark**

### Advantages of the Payback Method

1. Very easy to calculate and understand
2. Easy comparison can be made between mutually exclusive projects
3. May encourage growth by favouring projects providing a quick return
4. Reduces the time during which liquid funds may be at risk
5. Considers net cash inflows rather than profits

### Disadvantages of the Payback Method

1. Ignores net cash inflows after payback period
2. Calculating/estimating timing of net cash flows may be difficult
3. Ignores profitability
4. Ignores the time value of money (inflation)

**Note:** Maximum 2 marks if only advantages or disadvantages shown

**Maximum 3 marks  
4 Marks**

[END OF MARKING INSTRUCTIONS]